

CASE STUDY

MANOJ CHADHA (L), 67
PANKAJ CHADHA, 63

Partners,* Jyoti Steel Industries, *Mumbai

Annual turnover
₹800 crore

No. of employees
500

Total exports to the US
₹88 crore

Likely loss due to the US tariffs
₹44 crore

Inside their 10-acre plant in Khopoli, an industrial town some 70 km from Mumbai, rows of steel bars lie ready to be shipped. Except that they may now have no takers. The Chadhas' company, Jyoti Steel Industries, the largest exporter in the small and medium engineering goods sector, is among the many reeling under the bruising might of Trump's tariffs.

Founded in 1973, Jyoti Steel manufactures carbon alloy bars and stainless steels across multiple grades. In the past decade, it had increased its exposure to the US to $10 million (Rs 88 crore), exporting round bars, angle bars and flat bars. Thanks to the draconian US tariffs, that exposure may now be reduced by half—to $5 million (Rs 44 crore). "The US follows the old metric system," says Pankaj. "All our dyes and tools are geared towards that. They can't be changed overnight."

While acknowledging it as a wake-up call to not place all bets on a single market, Pankaj says cracking new markets is easier said than done. Established competitors already have a hold in alternative markets, and Indian firms will have to compete on both price and quality to gain a foothold. Any plans of expansion have to be put on hold. There will be other painful decisions too. Should they succeed in entering new markets, they can reskill and retain workers. Else, they may have to let go of the contract staff. ■